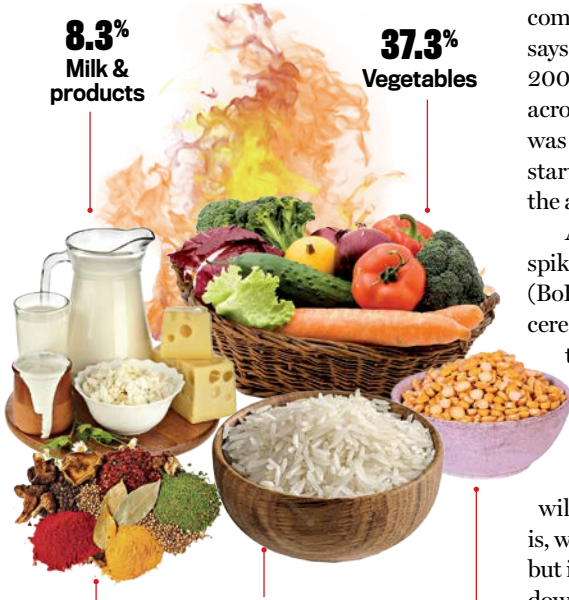


PRICEY STAPLES
A grocery shop in Old Delhi

MANISH RAJPUT

HOT PLATE

HOW FOOD PRICES CONTRIBUTED TO INFLATION



Inflation figures (July, 2023)

RISING INFLATION BELIES HOPES OF THE RBI CUTTING INTEREST RATES ANYTIME SOON; IT INSTEAD RAISES THE SPECTRE OF A FURTHER HIKE

some time, eventually having a cascading effect on the overall growth of the Indian economy.

Food prices have been rising at a fast rate in recent weeks. Tomato prices have been the headline event here. According to a note from CareEdge Ratings, they rose 385.2 per cent since the last RBI policy meeting in June. Other items have registered significant rises too: onions 24 per cent, potatoes 15 per cent, tur daal 10.3 per cent, even rice by 5 per cent. "Given that food contributes approximately 45 per cent to the CPI basket, the overall inflation outlook has deteriorated compared to the preceding MPC (monetary policy committee of the RBI) meeting," it says. Tomato prices soared to over Rs 200 a kilogram in several markets across India as production of the crop was affected by erratic rains, before starting to cool off in recent days with the arrival of fresh crop.

Analysing the reasons behind the spike in inflation, a Bank of Baroda (BoB) research note says vegetables, cereals, pulses, spices and milk all contributed, with vegetable price rise topping at an average 37.3 per cent. Since erratic weather was the chief causative factor here, there is hope that the situation will get normalised. The big question is, when? "True, it can be temporary, but it takes time for prices to come down to temper these rates. Therefore, we need to brace for another high number before a turnaround takes place," the BoB note says.

The reason for this pessimism is clear. The kharif sowing pattern is not very clear, says the report. (The Kharif season starts in June with the arrival of monsoon and ends in November.) The area under sowing is lower for pulses and some oilseeds. That can spike prices further if there are shortfalls in output. All this would mean that food inflation will be a prolonged worry until the final kharif output is known, it says.

Among other components of inflation, the 'miscellaneous' category was high at 5.5 per cent, pushed up by personal care products and household goods, while education on the services side was also high at 5.5 per cent. This has been due to both the passing on of input costs as well as a pick-up in demand. Clothing and footwear continue to register a spike of 5.6 per cent too, on account of rising input costs.

When it comes to the Indian states, as many as 12 of the 22 covered showed higher than average inflation. The highest was recorded in Rajasthan, at 9.7 per cent. Rural inflation tended to be higher than urban inflation given the higher weightage of food products in inflation.

Given this ascending trend, the RBI, in its latest MPC meeting, revised its inflation projection for FY24 upwards to 5.4 per cent from the previous 5.1 per cent, with a substantial revision of 100 basis points in the second quarter and 30 basis points in the third quarter of the financial year. "The MPC recognises the growing uncertainties to the inflation outlook. While it expects the vegetable price spike to be transitory, it is concerned about the impact of weather and global factors," Crisil said in a note. "The impact of El Niño and other weather events could impact food output. Geopolitical tensions present a fresh risk to global food prices. Even the recent rise in crude oil prices needs to be monitored." The rating agency further expects the MPC to hold on to policy rates in the next meeting as it awaits a clearer picture of the inflation trajectory. ■

Graphic by TANMOY CHAKRABORTY